EXCLUSIVE DISTRIBUTION AGREEMENT

This Agreement is effective September 1, 2027 between Prairie Arc Materials, Inc., a Delaware corporation ("Supplier"), and Harbor Birch Distribution, Inc., a New York corporation ("Distributor").

1. Products and market. Products means Supplier's PA-20 and PA-40 synthetic lubricant additives. The Covered Market means sales for use in industrial lubricating grease. The Territory consists of New York, New Jersey and Pennsylvania. Sales for automotive fuel blending are outside the Covered Market.

2. Appointment. Supplier appoints Distributor as its exclusive distributor of the Products in the Covered Market within the Territory. During the term, Supplier shall not appoint another distributor or sell directly into that market and territory, except to the reserved customer identified in Section 3. Distributor accepts the appointment and shall maintain trained sales staff.

3. Reserved sales. Supplier may continue selling directly to Elm Basin Manufacturing under its existing supply arrangement. Those reserved sales do not breach exclusivity and do not count toward Distributor's purchase minimum. Supplier may sell outside the Territory or outside the Covered Market without Distributor's consent.

4. Purchases and performance. Distributor shall purchase at least 20,000 kilograms during the first twelve months. If it falls short, Supplier may convert the appointment to nonexclusive status by giving thirty days' written notice after that period ends. Conversion is not automatic. No minimum applies to a later period unless agreed in writing.

5. Price and payment. The opening price is $8 per kilogram, excluding freight and tax. Supplier may change prices on sixty days' written notice, but accepted orders retain their agreed price. Payment is due thirty days after invoice receipt. Distributor sets its own resale prices.

6. Term and termination. The term ends August 31, 2029. Either party may terminate for a material breach not cured within thirty days after written notice. On expiration, Distributor may sell existing paid inventory for ninety days, without representing that it remains an exclusive distributor.

7. General conditions. Distributor is an independent reseller and may not bind Supplier. Supplier retains its product trademarks. New York law governs. Formal notices require tracked courier delivery, and amendments must be signed by both parties.

First named party

By: _____

Name / Title: _____

Date: _____

Second named party

By: _____

Name / Title: _____

Date: _____